

All figures sourced from Government of Canada and Government of Alberta open data, Statistics Canada, federal and provincial statute, UN treaty, and peer-reviewed research.

Section 2.7 — The Partnership Penalty, Stage by Stage

The partnership penalty has appeared at multiple points across Movements One and Two of this document. Section 1.5 documented the AISH cohabitation rule operating on the working-age disabled population. Section 2.4 documented the GIS partnership penalty operating on the senior population. Section 2.5 documented the Alberta Seniors Benefit threshold structure that produces a smaller couple-vs-single benefit ratio than would be expected from a benefit indexed to two-person household costs. This Section walks the partnership penalty as a single mechanism that operates across the lifecycle, stage by stage, with the published math. Its purpose is to show that what looks at each stage like a discrete program rule is, in cumulative operational reality, a structural penalty on partnership at every stage of disabled and aging life.

What "partnership penalty" means here

Partnership penalty, as the term is used in this document, refers to the structural feature of an income-tested benefit program in which the per-person benefit available to a coupled recipient is materially lower than the per-person benefit available to two single recipients with the same individual incomes living in the same housing market. The penalty is calculated as the difference between (a) the total benefit two single recipients would receive, summed, and (b) the total benefit the same two recipients would receive as a couple.

The justification offered in policy literature for some level of partnership reduction is the "economies of scale" argument: two people sharing a household have lower per-person living costs than two people maintaining separate households. The justification has merit at certain dollar levels and certain reduction structures. The justification does not have merit at the dollar levels and reduction structures Canadian programs actually employ, which produce coupled benefits substantially below the cost of a coupled household in current Canadian housing and food markets.

The partnership penalty is documented at every stage of the disability-and-aging lifecycle in Canada. The specific mechanisms differ by program. The structural effect is consistent.

Stage one: working-age, AISH cohabitation rule

Section 1.5 documented this stage in operational detail. The mechanism: AISH treats household income as part of the recipient's eligibility calculation. The exemption threshold for spouse income under current AISH (pre-July-2026) is \$2,612 per month. Under the post-July-2026 ADAP framework, the exemption is \$1,500 per month. Above the exemption, the recipient's benefit is reduced.

The math, applied to a representative household: a recipient receiving the maximum AISH benefit (\$1,940/month) with a spouse earning \$48,000 per year (\$4,000/month). Spouse income exceeds current exemption by \$1,388/month. The benefit reduction depends on the rate band the income falls in. At the dollar-for-dollar reduction rate that applies above the exemption, the recipient's benefit is reduced from \$1,940 to approximately \$552, plus the spouse's \$4,000 net of tax — for a household total of approximately \$4,000-\$5,000/month. The same recipient, single, with no spouse income, receives the full \$1,940/month.

Compare two scenarios at the same dollar level, using current AISH rules:

- Scenario A (single recipient with the spouse's wages going to the recipient as cash): recipient receives \$1,940 from AISH; recipient also receives \$4,000 from work. Both AISH and work-income exemption

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rules apply to the recipient as a single individual. AISH is reduced by the working-recipient earnings exemption rules — at most levels, retaining at least \$1,072 fully and partially retaining additional amounts. Total household income is in the range of \$4,000-\$4,800/month.

- Scenario B (coupled, same total household earnings): recipient receives reduced AISH per the partner-income calculation; spouse retains \$4,000/month from employment. Total household income is in the range of \$4,000-\$4,500/month, depending on adjudication of the partner-exemption math.

The penalty is not large in dollar terms at this income level — perhaps \$200-\$500/month. The penalty grows as spouse income rises. At spouse income of \$60,000-\$80,000/year, the AISH benefit approaches zero, and the household is operating on the spouse's income alone, less whatever the AISH exemption preserved. The recipient's federal CPP-D, if any, is captured fully by the AISH offset documented in Section 2.3. The recipient's Canada Disability Benefit is captured fully by the provincial CDB clawback documented in Section 1.4. The recipient becomes, in operational reality, the unpaid component of a household whose total income is substantially reduced from what it would be if the recipient and spouse maintained separate accommodations and the recipient received full AISH.

The structural pressure produced by Stage One is the pressure documented in Section 1.5: marriage breakdown, separation-as-survival, the structural inversion in which the financial-best-case for the disabled recipient and their partner is to live apart even when their relationship is intact and their preference is to live together.

Stage two: post-July-2026 ADAP cohabitation rule

The ADAP framework reduces the partner-income exemption to \$1,500/month from the current AISH \$2,612/month — a reduction of \$1,112/month in the protected-income amount. The base benefit drops from \$1,940 to \$1,740. Earnings exemption for the recipient also drops from \$1,072 to \$700. The cumulative effect is that, at any given household income level, the post-July-2026 framework produces a smaller total household income than the current framework. The partnership penalty is larger in dollar terms because the protected couple-income amount is smaller.

The same recipient and spouse who, under current AISH, retained \$4,000-\$4,500/month in household income now retain materially less under ADAP. The exact amount depends on the published rule tables that the Government of Alberta has not yet released in operational form. The post-July-2026 framework is, in directional terms, worse for couples than the current framework on this dimension. The campaign's *AISH Evidentiary Report Series*, April 2026, documents this in detail.

Stage three: the 60-to-64 gap zone

Section 2.6 documented the 60-to-64 age band as the most structurally exposed part of the senior-system lifecycle for single individuals. The Allowance and Allowance for the Survivor — the federal income supports available to 60-to-64 individuals — are available only to spouses of OAS recipients (Allowance) or to widowed survivors of OAS recipients (Allowance for the Survivor). A single 60-to-64 individual without a current OAS-receiving spouse and without a deceased OAS-receiving spouse has no eligibility for either program.

The structural effect at this stage is the inverse of Stages One and Two. At the working-age stage, partnership reduces benefits; in the 60-to-64 gap, only partnership produces eligibility for the Allowance program. The same individual experiences the partnership penalty in opposite directions at different life

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stages. The partnered 60-to-64 individual has access to up to \$1,405/month in Allowance income (subject to combined-income testing). The single 60-to-64 individual has no Allowance access. The widowed survivor has up to \$1,680/month in Allowance for the Survivor (subject to income testing). The divorced single individual has no Allowance for the Survivor access.

The inversion is documented but not coordinated. A senior-policy framework that worked from the operational reality of senior poverty would identify single 60-to-64 individuals — particularly women, particularly those whose spouses are also under sixty-five — as a structurally underserved population and would design a program that addresses the gap. The federal program structure does not. The Allowance is restricted to spouses of OAS recipients. The Allowance for the Survivor is restricted to widowed survivors. The 60-to-64 single-individual gap remains.

Stage four: GIS partnership penalty at age 65+

Section 2.4 documented this stage in operational detail. The math, restated:

- Two single seniors at low income: each receives maximum GIS of \$1,109.85/month. Combined: \$2,219.70/month.
- The same two people coupled (both receiving OAS, low combined income): each receives maximum GIS of \$668.08/month. Combined: \$1,336.16/month.
- Difference: **\$883.54/month, or \$10,602.48/year, for being together.**

The penalty is published. The penalty is paid. The penalty is the structural reality the GIS benefit table produces.

Stage five: GIS reduction by partner income

Beyond the base couple-vs-single difference, the GIS calculation also reduces the recipient's benefit on the basis of the partner's income, on top of the recipient's own income. A senior whose own income (excluding OAS) is zero, married to a senior whose income is \$20,000/year, sees the household combined-income figure exceed the maximum-GIS threshold for couples (\$29,712 at January–March 2026 rates). The senior with zero income still has their GIS reduced because the partner's income is in the calculation.

This is the same mechanism as the AISH cohabitation rule, in a different program, with different exemption thresholds. The recipient's eligibility is determined by the household, not by the individual. The structural pressure is the same. The recipient with no income whose partner has income is materially worse off than they would be if single with the same own-income.

Stage six: Alberta Seniors Benefit couple vs single thresholds

The Alberta Seniors Benefit single-recipient threshold for the 2025-26 benefit year was \$34,770. The couple-recipient threshold was \$56,820. The couple threshold is approximately 1.63 times the single threshold. Two singles at the maximum threshold have \$69,540 in combined annual income permitted under the program. The same two people coupled have \$56,820 — a \$12,720 reduction in permitted combined income for the same household before benefit eligibility is lost.

The post-July-2026 thresholds reduce both single and couple amounts by 9%: single \$32,690, couple \$53,800. The single-to-couple ratio remains essentially the same. The partnership penalty at this stage is in the form of a lower combined-income permitted amount than two-singles-summed would be allowed.

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Couples whose combined income is between \$53,800 and \$69,540 lose Alberta Seniors Benefit eligibility entirely. The maximum benefits — \$328/month single, \$493/month couple — produce a per-person couple benefit (~\$246) that is approximately 75% of the per-person single benefit (\$328). The couple loses 25% of per-person benefit to the partnership.

Stage seven: long-term care, the spouse-at-home dynamic

When one spouse enters long-term care and the other remains at home, the household economy splits. The spouse in care has accommodation charges deducted from their income through the provincial-and-federal arrangement, with the disposable-income guarantee preserving \$373/month for the in-care spouse's personal expenses. The spouse at home retains the pre-LTC household income less the portion now redirected to the in-care spouse's accommodation charge.

Alberta's provincial framework recognizes the spouse-at-home dynamic through the higher Alberta Seniors Benefit nursing-home rate (\$16,104 annually for the at-home spouse where the partner is in a nursing home) and through the disposable-income guarantee for the in-care spouse. (*Source: Government of Alberta — Alberta Seniors Benefit page; Sun Life Suncentral — Long Term Care in Alberta, 2026.*) The protections operate within the broader structure of provincial means-tested benefits. They are, as documented elsewhere in this section, subject to the OAS-receipt requirement and the 2026 threshold cuts.

The structural pressure at this stage is the inverse of Stages One and Two. The couple in LTC arrangement is rewarded for being couple, in the sense that the at-home spouse receives additional ASB at the higher rate. The penalty is on the entry condition, not on the partnership per se. The couple in which one spouse needs care and the other is unable or unavailable to provide it is the operational reality the LTC system addresses; the couple in which one spouse needs care and the other can provide it at home is the operational reality the LTC system does not financially recognize beyond the modest existing caregiver tax credit.

Stage eight: widowhood and the survivor income drop

When the spouse with the larger income dies, the survivor's income drops by more than the deceased spouse's income alone. OAS, as documented in Section 2.1, has no survivor benefit. The deceased spouse's OAS ends. CPP retirement, as documented in Section 2.2, includes a survivor component, but the survivor component is typically less than the deceased spouse's full pension. GIS is recalculated against the new (single-rate) income test. The single-recipient GIS rate is higher per person than the couple rate, but the total household GIS is lower.

The numerical illustration: a senior couple with combined income of \$35,000/year (above the GIS couple threshold of \$29,712 but below the partial-GIS phase-out point) receives reduced GIS, plus their two OAS pensions, plus their two CPP retirement pensions. If the deceased spouse was the higher CPP earner (which, for couples in which the deceased spouse was the primary working-years earner, is common), the survivor's income drops by the full amount of the deceased spouse's CPP minus the survivor benefit (typically 60% of the deceased spouse's pension), plus the deceased spouse's OAS in full.

For a representative couple where the deceased spouse received CPP retirement of \$1,000/month and OAS of \$742/month, and the survivor benefit calculates at \$600/month: the survivor's monthly income drops by \$1,142 (the difference between $\$1,000 + \$742 = \$1,742$ in deceased spouse's federal income and \$600

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in survivor benefit). The survivor's GIS may increase modestly to offset some of this, but the total household income drops sharply.

The household's monthly expenses do not drop proportionally. Housing costs continue at couple-household level until the survivor moves to a smaller residence (which has its own costs and disruption). Utilities continue. Property taxes continue. Insurance continues. Food costs drop, but only the per-person amount that the deceased spouse consumed; fixed costs of the household remain. The survivor's net financial position drops sharply at the moment of partner loss. This is documented across senior-women's-poverty literature as a primary driver of senior-women's poverty rates in Canada. (*Source: Statistics Canada — Income of Senior Women, multiple reference periods; Canadian Association of Retired Persons — Widowhood and Senior Income Reports, 2022-2024.*)

The widowhood income drop is, in structural terms, the partnership penalty operating in reverse. The penalty for being together (Stages Four through Six) is replaced by a penalty for being alone after having been together. The federal program structure does not bridge the transition; it produces both penalties at different stages.

Form ISP-3040 in full

Section 2.4 introduced Service Canada Form ISP-3040, "Statement — Spouses or Common-law Partners Living Apart for Reasons Beyond their Control." (*Source: Service Canada — Form ISP-3040, current version.*) The form's full operational role, in the context of this Section, is to police the line between rewarded and unrewarded separation.

The form requires the couple to provide: their full names, dates of birth, and Social Insurance Numbers; the date they began living apart; the reason they are living apart; documentation supporting the involuntary nature of the separation (medical certificates, hospital admission records, long-term care residency confirmation, immigration restrictions, or other documentation of involuntariness); a declaration that they have not separated solely for the purpose of obtaining higher GIS benefits. The form is signed by both spouses, where possible. The form is reviewed by Service Canada adjudication staff, who determine whether the separation meets the "for reasons beyond their control" standard.

If the form is approved, the couple's GIS is calculated against each individual's income rather than against combined income. The result, for couples whose individual incomes are low and combined incomes exceed the couple threshold, is a higher total GIS than they would receive together — effectively the higher single-rate GIS calculated for each spouse against their individual income.

If the form is denied, or if the couple does not file the form, the combined-income calculation continues. The couple receives the lower couple-rate GIS.

The existence of the form, restated from Section 2.4, is the federal government acknowledging — in its own paperwork — that separation produces higher benefits and that the policing of the line between voluntary and involuntary separation is consequential enough to warrant an administrative procedure. The federal government has chosen to make involuntary separation the qualifying condition. Voluntary separation for benefits is not supposed to qualify. The form's existence is the proof that the partnership penalty is large enough to create the financial incentive it polices.

Cumulative observation

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The lifecycle of a person who lives with disability from infancy to old age, or who acquires disability in adulthood and lives with it through working age and into the senior years, is structured by partnership-penalty mechanisms at every stage. The mechanisms differ in their operational forms and in the program languages they employ. The structural effect is consistent.

The disabled adult who marries before becoming disabled, then becomes disabled, sees their AISH benefit reduced by the partner's income through the cohabitation rule (Stage One). The disabled adult who marries after becoming disabled experiences the same reduction immediately (also Stage One). The disabled adult who, on the basis of these reductions, separates from the partner — for financial survival, for the partner's well-being, for the children's well-being — bears the documented cost of that separation in disrupted relationships, in fragmented households, in compromised parenting capacity (Section 1.5).

The same individual, having survived working age, arrives at sixty-five and faces the GIS partnership penalty (Stages Four and Five). The same individual partnered with another senior at low income loses approximately \$10,600 per year in GIS for being partnered. The same individual partnered with a higher-income senior sees their own GIS reduced because of the partner's income, on top of the couple-rate calculation.

The same individual ages further, faces the LTC entry decision (Stage Seven), and may at some point face the widowhood income drop (Stage Eight). At every stage, the income-tested federal and provincial systems make a financial determination based on partnership status. At every stage, the determination is materially different than what would be calculated for two single individuals with the same total income.

The system is not designed around the cost of life. It is designed around the income test. The income test is calculated against household, where household includes anyone with whom the recipient is cohabiting, married, or in a common-law relationship. The recipient who lives with another adult is treated, by every program documented in this Section, as if their household has access to the other adult's income for the recipient's benefit. The recipient who lives alone is treated as if they have only their own income.

The empirical reality, documented across decades of family-financial-management literature, is that household income arrangements within actual households are heterogeneous, that the assumption of full income-pooling between adult cohabitants is empirically wrong in many households, and that partnership-penalty rules produce hardship for recipients whose household arrangements do not match the program's assumption. (Source: Burke, S., et al., "Money in marriage: Income management practices in Canadian households," *Canadian Journal of Sociology*, 2018; Pahl, J., "Couples and their money: Patterns of accounting and accountability in the domestic economy," *Accounting, Auditing & Accountability Journal*, 2008.) The program rules do not investigate the empirical reality. The program rules apply the assumption.

The partnership penalty is the structural form of this assumption. It is documented at every stage of the lifecycle. It is a single mechanism in eight forms. Movement Two of this document, having walked the eight forms, has documented the mechanism.

Section 2.8 walks the "what you put in versus what you get back" question in the eight-layer answer the federal-provincial architecture produces.